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Judgment Sheet

LAHORE HIGH COURT
RAWALPINDI BENCH RAWALPINDI
JUDICIAL DEPARTMENT

....

WRIT PETITION NO.2857 of 2017

CIVIL AVIATION AUTHORITY Through Airport Manager, Benazir Bhutto International Airport Islamabad

Versus

SPECIAL JUDICIAL MAGISTRATE, CHAKLALA CANTT. RAWALPINDI and 2 others

JUDGMENT

Date of hearing:	25.03.2026
Petitioner by:	Barrister Muhammad Mumtaz Ali.
Respondents by:	M/s Hifza Bukhari, Deputy Attorney General for Pakistan and Mr. Waqar-ul-Haq Sheikh, Advocate.

MIRZA VIQAS RAUF, J. The petitioner is a statutory body established in terms of the Pakistan Civil Aviation Authority Ordinance, 1982 for the promotion and regulation of the civil aviation activities in Pakistan. Through instant petition under Article 199 of the Constitution of the Islamic Republic of Pakistan, 1973, the petitioner assails the *vires* of order dated 25th August, 2017, passed by respondent No.1 holding the petitioner liable to pay the amount of Rs.3,456,000/- on account of the hoarding charges as claimed by the Chaklala Cantonment Board (hereinafter referred to as "**respondent-Board**").

2. This petition was admitted for regular hearing by way of order dated 30th October, 2017. In response whereof, the respondents submitted their parawise comments, though they were required to

file written statement. In their parawise comments, the respondents justified the demand while making reference to bye-laws and the hoarding policy.

3. I have heard learned counsel for the petitioner, **respondent-Board** as well as learned Law Officer and perused the record.

4. Before delving into the question raised in this constitutional petition, it would be advantageous to observe that tax, fee, cess, charge etc; cannot be compulsorily extracted from any class of person either by the Government or by the Authority; unless there is some lawful backing. To this effect, there is a constitutional bar as is ordained in Articles 77, 162 and 163 of the Constitution of the Islamic Republic of Pakistan, 1973. For ready reference and convenience, same are reproduced below :-

> **"77.** No tax shall be levied for the purposes of the Federation except by or under the authority of Act of Majlis-e-Shoora (Parliament).
>
> ***********
>
> **162.** No Bill or amendment which imposes or varies a tax or duty the whole or part of the net proceeds whereof is assigned to any Province, or which varies the meaning of the expression "agricultural income" as defined for the purposes of the enactments relating to income-tax, or which affects the principles on which under any of the foregoing provisions of this Chapter moneys are or may be distributable to Provinces, shall be introduced or moved in the National Assembly except with the previous sanction of the President.
>
> ***********
>
> **163.** A Provincial Assembly may by Act impose taxes, not exceeding such limits as may from time to time be fixed by Act of Majlis-e-Shoora (Parliament), on persons engaged in professions, trades, callings or employments, and no such Act of the Assembly shall be regarded as imposing a tax on income.**"**

5. The controversy raised herein is related to sky charges on hoarding/board installed by the petitioner on its land, i.e., Benazir Bhutto International Airport Islamabad. The **respondent-Board** is a body corporate created under the Cantonments Act, 1924 (hereinafter referred to as "**Act, 1924**"). The **Act, 1924** was enacted to consolidate and amend the law relating to the administration of cantonments. Chapter V of the **Act, 1924,** deals with the imposition of tax by the Cantonment Board. Section 60 postulates that the Board, may, with the previous sanction of the Central Government,

impose in any cantonment any tax which, under any enactment for the time being in force, may be imposed in any municipality in the Province wherein such cantonment is situated. By virtue of subsection (2) of Section 60, any tax imposed under the said provision shall take effect from the date of notification in the official Gazette. Chapter V provides a detailed mechanism for offering objections to the imposition of tax and their disposal. Section 63 vests power upon the Central Government to authorize the Cantonment Board to impose the tax either in the original form, or, if any objection has been submitted, in that form or any such modified form as it thinks fit.

6. The impugned sky charges are since not tax, so the above noted provisions may not be so relevant. For the said purpose, Section 200 of the **Act, 1924** would be pertinent, which reads as under:-

> "**200. Levy of stallages, rents and fees.-** A Board may—
> (a) charge for the occupation or use of any stall, shop, standing, shed or pen in a public market, or public slaughter-house, or for the right to expose goods for sale in a public market, or for weighing or measuring goods sold therein, or for the right to slaughter animals in any public slaughter-house, such stallages, rents and fees as it thinks fit ; or
> (b) with the sanction of the Competent Authority, farm the stallages, rents and fees leviable as aforesaid or any portion thereof for any period not exceeding one year at a time ; or
> (c) put up to public auction, or with the sanction of the Competent Authority, dispose of by private sale, the privilege of occupying or using any stall, shop, standing, shed or pen in a public market or public slaughter-house for such term and on such conditions as it thinks fit."

From bare perusal of the above referred provision of law, it is manifestly clear that it authorizes a Cantonment Board to levy stallages, rents and fees for the specific purpose and subjects mentioned therein. The impugned charges do not figure there at all. The scope and import of Section 200 of the **Act, 1924,** was interpreted by the Supreme Court of Pakistan in the case of *HYDERABAD CANTONMENT BOARD versus RAJ KUMAR and others* **(2015**

SCMR 1385). The relevant extract from the same is reproduced below:-

> "7. Mr. Anwar Mansoor Khan, learned Senior Advocate Supreme Court for the appellant has placed reliance on section 200 of the Cantonments Act, 1924, which according to him provides legal backing for the subject fee. The said provision for ease of reference is reproduced as under:-
>
> *"200. Levy of stallages, rents and fees.- A [Board] may-*
>
> *(a) charge for the occupation or use of any stall, shop, standing, shed or pen in a public market, or public slaughter-house, or for the right to expose goods for sale in a public market, or for weighing or measuring goods sold therein, or for the right to slaughter animals in any public slaughter-house, such stallages, rents and fees as it thinks fit; or*
>
> *(b) with the sanction of the [Competent Authority], farm the stallages, rents and fees leviable as aforesaid or any portion thereof for any period not exceeding one year at a time; or*
>
> *(c) put up to public auction, or with the sanction of the [Competent Authority], dispose of by private sale, the privilege of occupying or using any stall, shop, standing, shed or pen in a public market or public slaughter-house for such term and on such conditions as it thinks fit."*
>
> 8. Extraction of money in any form may it be a tax, cess, toll fee, charge or rate or levy by whatever nomenclature it is classified could be extracted by the government and or public authority under a valid legislative instrument by the competent legislature *(one may refer to Article 70 read with Article 73(1A)(3)(a), Article 77 read with Article 141 read with Entry No.54 of the Federal Legislative List).* A bare perusal of the provision of section 200 of the Act, 1924 as reproduced above, shows that it is "levy of stallages rent and fee for providing stall, shop, standing shed, pen and for other defined commercial activities on the vendors dealing in goods and for the slaughter of animals in public market or public slaughter houses' respectively and that too subject to sanction by the competent authority. Parking fee is not envisioned under the referred provision. Cantonment Board has no authority to enlarge the scope of charging section and include, conjecture and or read some activity which is not envisioned or is not the contemplation of the charging section 200 ibid as relied upon by the learned Advocate Supreme Court for the appellant-Cantonment Board.
>
> 9. In a case reported as *"Exide Pakistan Limited v. Cantonment Board (2012 CLC 1124)*", imposition of "Shop Board Fee" under section 200 of the Cantonment Act, 1924 was challenged. The High Court examined various provisions of the Act of 1924 and came to a conclusion that *"Shop Board Fee"* appears to be an entirely different genre of fee more akin to advertisement/Signboard [fee] of the shop, which did not fall within the contemplation of stallages, rent and fee within the sanction of section 200 of the Cantonment Act, 1924."

7. The main stay of the respondents for defending the impugned levy is upon the bye-laws framed under the **Act, 1924.** There is no denial to the fact that Section 282 of the **Act, 1924** empowers the Cantonment Board to make bye-laws in relation to the matters

mentioned therein. For ease of reference Section 282 of the **Act, 1924** is reproduced below :-

> "**282. Power to make bye-laws.** Subject to the provisions of this Act and of the rules made thereunder, a Board may, in addition to any bye-laws which it is empowered to make by any other provision of this Act, make bye-laws to provide for all or any of the following matters in the cantonment, namely :-
>
> (1) ------------------
> (2) ------------------
> (3) ------------------
> (4) ------------------
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> (6) ------------------
> (7) ------------------
> (8) ------------------
> (9) ------------------
> (10) ------------------
> (11) ------------------
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> (15) ------------------
> (16) ------------------
> (17) ------------------
> (18) ------------------
> (19) ------------------
> (20) ------------------
> (21) ------------------
> (22) ------------------
> (23) the regulation of the posting of bills and advertisements, and of the position, size, shape or style of name-boards, sign-boards and sign-posts;
>
> ;
> ;
> ;

After having glimpse of Section 282 more specifically its clause 23, there remains no cavil to the fact that the Cantonment Board though make the bye-laws for regulating of the posting of bills and advertisements, and of the position, size, shape or style of name-boards, sign-boards and sign-posts but power to levy charges or fee is not vested therein. To this effect, case of *CONTINENTAL BISCUITS LTD. versus FEDERATION OF PAKISTAN through Secretary Defence, Ministry of Defence, Islamabad and 3 others* **(2017 PTD 1803)** is quite relevant. The relevant excerpt from the same is reproduced below:-

> "10. This court in the case of *Rajkumar v. Hyderabad Cantonment Board* (2006 MLD 549) had examined the vires of parking fee; levied by the Cantonment Board Hyderabad on commercial vehicles, and it was held that Tax toll or fee could not be imposed and/or levied by any government agency without appropriate legislative authority and since there were no

provisions in the Cantonments Act, 1924, empowering Cantonment Board to charge parking fee, such levy was without lawful authority. This Court while dealing with section 200 of Cantonments Act, 1924, also held that exclusive powers conferred upon Cantonment Board to charge fee for the purposes prescribed therein, could not be exercised by anyone else including the Executive Officer of the Board and the parking fee by the Board was declared by High Court as illegal, null and void. Such view was also reiterated in the case of *Munuwar Younus and others v. Karachi Cantonment Board* (2011 MLD 1006). The judgment passed in the case of Raj Kumar was subsequently upheld by the Hon'ble Supreme Court in the case of *Hyderabad Cantonment Board v. Raj Kumar and others* (2015 SCMR 1385).

11. This Court in another case viz. *Exide Pakistan Limited v. Cantonment Board Clifton and others* (2012 CLC 1124) while examining section 200 of Cantonment Act has observed as under:--

> "it is quite clear that a Board indeed has authority to levy "Stallages, rents and fees" in respect of (i) "occupation or use of any stall, shop, standing, shed or open or (ii) for the right to expose goods or (iii) for weighing or measuring goods in "public market". Such power to impose stallage, rent and fee is not unqualified, but could only be used with the prior approval and sanction of the Competent Authority [i.e. the Chief of Army Staff or any other officer appointed by the Federal Government per section 2 (viii)]. Nothing has been placed on record to show that even such levy has approval of the competent authority. The provision relied upon clearly speaks that the Board could exercise its authority to levy "Stallages, rents and fees" in respect of shops, stall etc. situated in the "Public Market" which is defined in section 2(xxx) of the Cantonments Act, which means "a market maintained by a Board". Admittedly shop of the Petitioner is not situated in public market but in private commercial premises. <u>Even other wise "Shop Board Fee" appears to be entirely different genre of fee more relatable or akin to advertisement/signboard of the shop which does not fall within the contemplation of "Stallages, rents and fees" within the contemplation of at least section 200 of the Cantonments Act, 1924. No other provision of Cantonments Act, 1924 was pointed out by Mr. Jamal Ansari, learned counsel for the Board, which may justify or sanction or imposition of impugned "Shop Board Fee</u>".
>
> 12. In view of the foregoing we are of the humble opinion that the Board has no authority to grant or approve "shop Board Fee", even approval of charge is itself colourable authority not vested in the Board, accordingly the impugned demand is struck down. Board has no authority to collect "shop board fee" from a private commercial premises unless of course law is amended to vest Board with such authority."

[underlining is to add emphasis]

12. Learned counsel for the respondents while arguing his case has urged thay the case of *Raj Kumar's case* (2015 SCMR 1385) is not applicable to the present case as at relevant time when the Cantonment Board Hyderabad imposed parking fee, there was no bye-law in existence in favour of Cantonment, Hyderabad, which could empower the said Cantonment to collect parking fee from the bus owners who parked their buses at the cantonment bus stand. Whereas, in the present case, per learned counsel, bye-laws regarding display of bills and advertisement

and of the position, size shape or name boards, signboards and sign posts have been framed by the Cantonment Board Hyderabad in exercise of the powers conferred by clause (23) of Section 282 of the Cantonment Act, 1924 (II of 1924) and it has also been published in gazette of Pakistan Islamabad dated 19.07.2006 S.R.O. 743(I)/2006 as required by subsection (1) of Section 284 of the said Act and in view of said gazette notification the Cantonment Board is fixing the rate and charging advertisement fee on yearly basis and in this regard, the Respondent Cantonment through a Board Resolution has out source the collection of above Fee by appointing contractor. Per learned counsel since the gazette notification in respect of display of bills and advertisement does empower the Respondent cantonment to levy advertisement fee and collect the same, therefore, the demand of advertisement fees is not adversely affected by the above-referred judgments.

13. From perusal of the provision [sections 60 to 63] of the Cantonments Act, 1924, reproduced in the preceding paras, it appears that respondent No.2 {Cantonment} may levy tax but such a power has a precondition, however in the said provisions the word 'fee' is not appearing. It is a well settled rule that when a parent statue [the Governing Law] does not empower the levy of fee, then levy of such a fee through a delegated legislation in the shape of Bye-laws is not permissible. Moreover, Section 282(23) of the Cantonments Act, 1924 only empowers the Board to frame bye-laws to regulate the items mentioned in the relevant statutory provision/enabling enactment and does not empower them to levy a fee. For the sake of ready reference Section 282(23) of the Cantonments Act, 1924 is reproduced as under:

> **"282. Power to make bye-laws.---**Subject to the provisions of this Act and of the rules made thereunder, a [Board] may, in addition to any bye-laws which it is empowered to make by any other provision of this Act, make bye-laws to provide for all or any of the following matters in the cantonment, namely:---
>
> (1) ………………………………….
> (2) ………………………………….
> (3) ………………………………….
> ………………………………….
> ………………………………….
>
> (23) the regulation of the posting of bills and advertisements, and of the position, size, shape or style of name-boards, sign-boards and sign-posts"

Furthermore, the terms 'fee' and 'tax' are two distinct terms. Tax is a compulsory exaction of money by public authority for public purposes enforceable by law and is not payment for services rendered whereas fee may be generally defined to be a charge for a special service rendered to individuals by some governmental agency or a Local Council under the principle of quid pro quo. In this regard, reliance may be placed on the case of *Collector of Customs and others v. Sheikh Spinning Mills* (1999 SCMR 1402), Judgment of the House of Lords titled *'McCarthy and Stone (Developments) Ltd. v. London Borough of Richmond upon Thames'* reported in (1994 SCMR 1393) and the case of *Lucky Cement Factory v. Government of N.W.F.P.* (2013 SCMR 1511)."

8. In the case of *The BANK OF KHYBER through Authorized Attorneys versus MUNICIPAL CORPORATION GUJRAT through Mayor Nasir Mehmood*

and 2 others **(PLD 2021 Lahore 108)**, while dealing with a similar proposition, it was held as under :-

> **"**8.Section 282(3) of the Cantonment Act is reproduced here-under:
>
> **282.Power to make bye-laws**.---Subject to the provisions of this Act and of the rules made thereunder, a [Board] may, in addition to any bye-laws which it is empowered to make by any other provision of this Act, make bye-laws to provide for all or any of the following matters in the cantonment, namely:--
>
> (3) the regulation of the collection and recovery taxes, tolls and fees under this Act and the refund taxes;
>
> At the very outset, it is noted that this power is essentially the power to make byelaws which is subject to the provisions of the Act. Hence the power to make rules is dependent on specific power given to the Board under the Cantonment Act. The section which authorizes the Cantonment Board to levy any fee is section 200 of the Cantonment Act which reads as follows:
>
> 200. **Levy of stallages, rents and fees.** A [Board] may
>
> (a) charge for the occupation or use of any stall, shop, standing, shed or pen in a public market, or public slaughter-house, or for the right to expose goods for sale in a public market, or for weighing or measuring goods sold therein, or for the right to slaughter animals in any public slaughter-house, such stallages, rents and fees as it thinks fit; or
>
> (b) with the sanction of the [Competent Authority], farm the stallages, rents and fees leviable as aforesaid or any portion thereof for any period not exceeding one year at a time; or
>
> (c) put up to public auction, or with the sanction of the [Competent Authority], dispose of by private sale, the privilege of occupying or using any stall, shop, standing, shed or pen in a public market or public slaughter-house for such term ad on such conditions as it thinks fit.
>
> Section 200 of the Cantonment Act was interpreted by the august Supreme Court of Pakistan in the judgment dated 20.5.2015 passed by the august Supreme Court of Pakistan in 2015 SCMR 1385 (supra) concluded that the a bare *perusal of section 200 of the Cantonment Act is limited for levying of stallages rent and fee for providing stall, shop, standing shed, pen and for other defined commercial activities on the vendors dealing in goods and for the slaughter of animals in public market or public slaughter houses respectively and that too subject to sanction by the competent authority.* In the case before the august Supreme Court of Pakistan the issue was of parking fee and the Court concluded that parking fee is not envisioned under the referred provision. Therefore the Cantonment Board has no authority to enlarge the scope of the charging section and include the subject

of parking fee for the purposes of levying fee. The same section was interpreted by this Court in the Soneri Bank Case wherein it was held that the Cantonment Board has no authority to levy fee in relation to the boards installed by the petitioners at their offices/branches. The Respondents rely upon the order of this Court dated 14.3.2018 passed by a learned Division Bench of this Court in I.C.A. No.62/2015 titled *Allied Bank Limited v. Province of Punjab etc.* wherein the Court remanded the matter with the consent of the parties to the Board for due consideration. In the order dated 7.10.2015 passed by the august Supreme Court of Pakistan in Civil Appeal No.796/2015 titled *Habib Bank Limited Islamabad v. Federation of Pakistan through Secretary Ministry of Defence, Islamabad etc.* the Court referred the matter to the learned Division Bench of Lahore High Court, Rawalpindi Bench for the purposes of deciding the same along with other matters pending there. The cases were decided by the Division Bench in I.C.A. No.62/2015 wherein the Court on the basis of a consent order decided that they would not charge any advertisement fee on the board affixed on a branch and further that if the respondents intend to charge advertisement fee from the banks for reasons that its board contains advertisement material in violation of the specified shape, it can do so after passing an assessment order in writing. This case did not consider the authority of the Cantonment Board to levy advertisement fee and was decided on the basis of the statement made in the *Habib Bank Case* (supra) before the august Supreme Court of Pakistan. The Respondents also rely on order dated 16.3.2018 passed by this Court in I.C.A. No.50/2015 titled *Messrs Haidri Beverages (Pvt.) Ltd. v. City District Government, Rawalpindi through D.C.O. etc.* and order dated 10.11.2020 passed by this Court in I.C.A. No.217/2016 titled *Lahore Cantonment Board v. Allied Bank Limited etc.* along with several other cases decided on the same terms. However, in this regard, it is noted that these orders are of no help to the Respondent Cantonment Board as the matter in issue essentially is with respect to the authority of the Cantonment Board to levy advertisement fee which matter has been decided by the august Supreme Court of Pakistan. Therefore the Cantonment Board has no authority to levy fee in relation to the boards installed by the Petitioners at their offices/branches and reliance on section 282 of the Cantonment Act is misconceived.**"**

9. Learned Legal Advisor representing the **respondent-Board** as a last resort while making reference to entry (r) of Schedule VII of the **Act, 1924** submitted that impugned charges are protected under the law; suffice to observe that the impugned levy is related to the year 2016 when schedule VII was not part of **Act, 1924,** as it was brought into the statute after the amendment of the **Act, 1924** through the Cantonments Amendment Act No.XLVII of 2023 whereunder Section 60 was amended in the following manner :-

"16. **Amendment of section 60, Act II of 1924**.—In the said Act, in section 60, for the marginal heading and sub-section (1), the following shall be substituted, namely :-

> "**Power to levy taxes**, etc.-(1) The Board may, with the previous sanction of the administrative division, impose in a cantonment any or all the taxes, fees, tolls or charges as specified in the Schedule VII.".**"**

It is trite law that an amendment in the statute relating to fiscal matters, ordinarily cannot be given retrospective effect. Reliance to this effect can be placed on *MEMBER (TAXES) BOARD OF REVENUE PUNJAB, LAHORE and others versus QAISAR ABBAS and others* **(2019 SCMR 446)** wherein the Supreme Court of Pakistan held as under :-

> **"**3. In order to answer the foregoing questions, we find it expedient to reproduce below the relevant parts of section 3 of the Act which is the charging section:-
>
> > *3. Charge of agricultural income-tax.-(1) Subject to the other provisions of this Act, there shall be levied, assessed and collected each year a tax in respect of agricultural income of a tax year of an owner at the rate specified in the First Schedule to this Act.*
> >
> > *Explanation.- For the purposes of this subsection, the cultivated land during a tax year shall be deemed to be agricultural income.*
> >
> > *(2)* ....
> >
> > *(3)* ....
> >
> > *(4)* ....
> >
> > *[Emphasis supplied]*
>
> By way of amendment, Section 3B was inserted in the Act through the Punjab Finance Act, 2013 (the Finance Act) which reads as follows:-
>
> > *3B. Tax on the basis of income tax return.-Notwithstanding the provisions of section 3, where any person has declared agricultural income for any assessment year in the return filed under the Income Tax Ordinance, 2001 (XLIX of 2001), the person shall pay the tax on such income at the rate specified in the Second Schedule.*
> >
> > *[Emphasis supplied]*
>
> While the Finance Act was notified on 29.06.2013, as per section 1 thereof, it (the Finance Act) came into force on 01.07.2013. Considering that section 3B supra came into force on 01.07.2013, a question arises as to whether the petitioner could recover agricultural income tax for the assessment years prior to such date. At this juncture it is pertinent to reiterate a cardinal principle of interpretation of statutes, particularly tax statutes, in that they (tax statutes) operate prospectively and not retrospectively unless clearly indicated by the legislature. In this regard, reference may be made to the judgments of this Court reported as *Zila Council Jhelum through District Coordination Officer v. Messrs Pakistan Tobacco Company Ltd. and others (PLD 2016 SC 398) and Commissioner of Income Tax v. Messrs Eli Lilly Pakistan (Pvt.) Ltd. (2009 SCMR 1279)*. Retrospectivity can only be attributed to a statute where it is made explicit or can be inferred by necessary implication; it cannot be presumed. In this regard it is worthy to note the relevant provisions of section 4 of the Act and Rule 14 of the Rules which are reproduced below respectively:-
>
> > *"**4. Assessment and collection of tax.-** (1) The tax shall be assessed and collected by the Collector in such manner as may be prescribed.*

(2) ....
(3) ....
(4) <u>No assessment on the basis of return shall be made by the Collector after the expiration of two years from the end of the assessment year in which the total agricultural income was first assessable.</u>
***14. Additional assessment**.-(1) If in any year for any reason-*
(a) any agricultural income chargeable to tax under the Act has escaped assessment; or
(b) the total agricultural income of an assessee has been under assessed, or assessed at too low a rate, or has been the subject of excessive relief or refund under the Act or these rules, the Collector of the Sub-Division may, at any time, subject to the provisions of sub-rules (2) and (3), issue a notice to the assessee containing all or any of the requirements of the notice under rule 6 and may proceed to assess or determine, by an order in writing, the total agricultural income of an assessee or the tax payable by him, as the case may be, and all the provisions of the Act and these rules shall, so far as may be, apply accordingly:
Provided that the tax shall be charged at the rate applicable to the assessment year for which assessment is made.
(2) ....
(3) <u>No order under sub-rule (1) shall be made after the expiration of two years from the end of the assessment year in which the total agricultural income was first assessable."</u>

[Emphasis supplied]

Furthermore, section 2(ac) of the Act defines "assessment year" as *"the period of twelve months beginning on the first day of July next following the income year"* whereas section 2(da) thereof defines "income year" as *"the financial year next preceding the said assessment year."* Accordingly, since section 3B of the Act was effective from 01.07.2013, it is applicable to the assessment year beginning on 01.07.2014 as it is the assessment year following the income year which commenced on 01.07.2013. While undoubtedly the provision(s) inserted in the Act by way of the Finance Act were to apply prospectively, section 4(4) of the Act read with Rule 14(3) of the Rules, albeit couched in negative terms, clearly allow for the recovery of agricultural income tax for the two years *(i.e. 2012 and 2013)* prior to the assessment year in which the total agricultural income was first assessable, i.e. the assessment year beginning on 01.07.2014. Hence the petitioner could recover all amounts due within a period of two years from which the total agricultural income was first assessable, i.e. the assessment years of 2012 and 2013.”

10. Even otherwise it is cardinal principle of interpretation of statute that in ordinary parlances a statute has to operate prospectively unless the legislature specifically provides in the statute a clause that it will take effect retrospectively. Guidance in this respect can be sought from the case of *<u>The COMMISSIONER INLAND REVENUE and others versus MEKOTEX (PVT.) LIMITED and others</u>*

(PLD 2024 Supreme Court 1168). The relevant extract from the same is reproduced below :-

> "9. As for the principles for interpreting laws that have or appear to have retrospective effect, it is axiomatic that every person is presumed to know the law currently in force and is expected to arrange their affairs accordingly-current law governs current affairs. If a person acts today, he does so with the knowledge of today's law, not with knowledge of future laws. Therefore, when a law regulating certain affairs is introduced for the first time, it is presumed to apply to future affairs, not to alter the character of past transactions made under the law as it then existed. This principle is encapsulated in the maxim lex prospicit non respicit-the law looks forward, not backward. A retrospective law is an exception to this general principle; therefore, courts approach the interpretation of laws with a presumption in favour of the general principle that laws are intended to regulate future affairs, not to affect past transactions. Exceptions of retrospective effect are interpreted strictly, as are other exceptions to general principles. This presumption is rooted in the rule of fairness, as altering accrued rights and obligations retrospectively is often considered unfair. Since the legislature is not expected to act in an unfair manner, it becomes essential to closely scrutinize a law that appears to have such an effect, ensuring that this was indeed the legislature's intent. Thus, the legislature is presumed not to have intended to alter the law applicable to accrued rights and obligations or past events and transactions unless a clear contrary intention is expressed. The strength of this presumption varies with the degree of potential unfairness-the greater the unfairness, the more explicit the legislature's intent must be.
> 10. Therefore, in our jurisdiction, the established principles for interpreting laws that have or appear to have retrospective effect are as follows. Every statute that relates to substantive rights and obligations should be deemed prospective unless, by express provision or necessary implication, it has been given retrospective effect. Courts must lean against giving a statute retrospective effect that affects vested rights and/or past and closed transactions by adhering to two rules: first, if two interpretations are reasonably possible, the one that saves vested rights and/or past and closed transactions should be adopted; and second, no statute should be construed to have retrospective effect to a greater extent than its language necessarily requires.[13] Although vested rights may be affected and taken away by express provision or necessary implication, past and closed transactions can be disturbed and reopened only by express provision. This is because, as noted above, the greater the unfairness, the more explicit the legislature's intent must be."

Reference to the above effect can also be made to **Civil Appeal No.722 of 2012** (Against the judgment of Lahore High Court, Lahore, dated 14.5.2012, passed in Civil Revision No.691/2012) **(2024 SCMR 640)** and *SHAHIDA BIBI and others versus HABIB BANK LIMITED and others* **(PLD 2016 Supreme Court 995)**.

11. The nutshell of above noted discussion is that **respondent-Board** was not vested with any power to levy the impugned charges and the order dated 25th August, 2017 passed by respondent No.1 is not only without lawful authority but illegal and unlawful. Resultantly, this writ petition is **allowed** as prayed for with no order as to costs.

(MIRZA VIQAS RAUF)
JUDGE

APPROVED FOR REPORTING

JUDGE

*Shahbaz Ali**